TOPIC ⑩ · RECORDED GO-TO-MARKET LECTURE

Place & Channels: How the Product Reaches the Customer

PLAIN ENGLISH

Place = where and how people buy: stores, websites, distributors, salespeople. Kahn: it used to be her “least favorite P” (it felt like logistics), but now it's her **favorite**, because in mature categories with similar products, **how you go to market is how you stand out**. And **30–50% of the final price** sits in the channel.

What channels (stores, distributors) actually do 🎤 CLASS

Sell & educate
They talk to the customer, demonstrate, and deliver the experience

Assortment
Breadth = how many categories · **Depth** = how many choices within one (simulation decisions!)

Final price & promos
Plus comparisons, customization, and logistics

Direct vs Indirect

	Direct (you sell to the customer yourself)	Indirect (through stores or distributors)
✔	Full margin · full control of price and experience · **you own the customer DATA**	They handle distribution · **scale** · customers can compare brands side by side
✘	**Hard to scale** · you do all the logistics (on your balance sheet) · need strong awareness · may	**Double marginalization** · **channel conflict and power** · less control of

not match how customers decide | price and experience

DOUBLE MARGINALIZATION

Each middleman adds its own markup, so the **customer pays more** and each party earns less total profit. “Many times the channel makes more money than you do” (as in BeWood).

CHANNEL POWER & DATA

“**Who owns the data**... is a critical negotiation point” (Amazon often knows more about your customers than you; Dexcom with Apple Watch). US **car dealers** are protected by law, so **Tesla** got around them by arguing “we're not a car,” we're tech. Amazon: “can't live with them, can't live without them.”

⭐ Nike's DTC story (told at length in class)

1. **2020:** Strong brand; everyone's home in athletic wear. Nike pushes **direct-to-consumer**, cuts margins to retailers, wants to own the data; fully bought into **CLV** (even bought Prof. Fader's company).
2. **Then:** acquiring new customers got hard, plus supply-chain problems. Nike kept only Dick's, Foot Locker, Nordstrom; even Foot Locker couldn't get enough shoes. It **pulled out of running stores**.
3. **What customers did:** didn't go to Nike.com. They bought **HOKA, On, New Balance** right there. Nike also stopped innovating (over-relied on Air Max and Air Force 1).
4. **2024:** the consultant-CEO is replaced by a product veteran: rebuild wholesale, “back to our DNA.” Lesson: **channels really matter**.

The retail landscape

• **Mid-tier department stores are stuck in the middle** (Kohl's, JCPenney, Macy's). Multi-brand still works when done right: **Sephora** sells the same beauty products as Macy's but differently; T.J.Maxx, Walmart, Costco win.
• **DTC brands** of 2017–18 (Bonobos, Rent the Runway) couldn't scale, so they moved into Nordstrom and onto Amazon. **Luxury** did the opposite: pulled out of department stores toward direct or store-within-store to control price and experience. "Which is better? Obviously, like anything in marketing, **it depends**." Many do both.
• **Mono-brand** (sells one brand: Apple, Lululemon) vs **multi-brand** (department stores). **National brands** (Coke, Dior) vs **private brands** (Costco's **Kirkland**). In the sim, 100% private brand ≈ going mono-brand.
• What killed retailers: "they opened too many stores, they kept too much inventory, they took out too much **debt**," and the simulation models exactly this.

Practice: multiple choice (9), with answers

MC 1 [SAID IN CLASS]

Roughly what share of a product's final price sits in the channel?

- **✔ CORRECT: 30–50%**
- 5%
- 90%
- Under 1%

EXPLANATION

That's why Kahn calls Place so important, and why the channel often makes more than the brand (BeWood).

MC 2 [SAID IN CLASS]

'Double marginalization' means:

- **✔ CORRECT: Each middleman adds its own markup, so the customer pays more and each party earns less total profit**
- The brand earns two margins
- Margins double when going direct
- Retailers split one margin

EXPLANATION

It's the biggest disadvantage of selling through intermediaries.

MC 3 [SAID IN CLASS]

A key ADVANTAGE of selling direct-to-consumer is:

- **✔ CORRECT: You own the customer data and keep the full margin and control**
- It's easy to scale
- Customers can compare brands side by side
- Someone else does the logistics

EXPLANATION

The catch: direct is hard to scale and you do all the logistics yourself.

MC 4 [SAID IN CLASS]

When Nike pulled out of many stores to push direct sales, what happened?

- **✔ CORRECT: Shoppers bought HOKA, On, and New Balance in those stores instead of going to Nike.com**
- Sales doubled online
- Retailers raised Nike's prices
- Nothing changed

> **EXPLANATION**
> Nike assumed customers would follow it online; they switched brands. It also under-innovated, and in 2024 it rebuilt wholesale.

MC 5 [SAID IN CLASS]

How did Tesla get around powerful US car-dealer laws?

- **✔ CORRECT: It argued it's a tech company, 'not a car'**
- It bought all the dealers
- It sold only on Amazon
- Dealers invited it

> **EXPLANATION**
> Shows how powerful channel members can be.

MC 6 [SAID IN CLASS]

Kahn said 'who owns the data' in a channel partnership is:

- **✔ CORRECT: A critical negotiation point, because the data is where differentiation comes from**
- Irrelevant
- Always the retailer
- Always the brand

EXPLANATION

Example: Amazon often knows more about a brand's customers than the brand does.

MC 7 [SAID IN CLASS]

In retail assortment, 'breadth' and 'depth' mean:

- **✔ CORRECT: Breadth = number of categories; depth = number of choices within a category**
- Breadth = stores; depth = inventory
- Breadth = prices; depth = quality
- Breadth = online; depth = offline

EXPLANATION

Both are simulation decisions, and both tie up cash in inventory.

MC 8 [SAID IN CLASS]

Kahn said many retailers in the 'retail apocalypse' failed because they:

- **✔ CORRECT: Opened too many stores, held too much inventory, and took on too much debt**
- Advertised too little
- Priced too low
- Sold too many private brands

EXPLANATION

The simulation models exactly this: debt raises WACC and lowers market value.

MC 9 [SAID IN CLASS]

Kirkland (Costco) is a:

- **✔ CORRECT: Private (store) brand**
- National brand
- Mono-brand retailer
- Endorsed brand

EXPLANATION

National brands = Coke, Dior. In the simulation, going 100% private brand ≈ becoming mono-brand.

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

A strong consumer brand is considering moving most of its sales to direct-to-consumer. Compare the benefits and risks, using Nike.

What a full-credit answer covers

- DTC benefits: full margin (no double marginalization), control, own the data, CLV
- DTC risks: hard to scale, logistics, acquisition is hard, customers want to compare
- Nike story: 2020 DTC/CLV → cut wholesale → HOKA/On/NB → under-innovation → 2024 rebuild
- Channel power/data ownership as negotiation points
- Recommendation: hybrid / it depends

MODEL ANSWER

Going direct removes double marginalization, keeping the 30–50% of price that otherwise goes to the channel. It also gives control over price and experience, and the customer data that powers CLV programs. But it's hard to scale, puts logistics on your own balance sheet, makes acquiring new customers costly, and may not fit how customers decide, since many want to compare brands in a store. Nike shows the risk. In 2020 it bet on DTC and CLV and pulled out of many retailers, including running stores. Shoppers didn't follow it online; they bought HOKA, On, and New Balance right there, while Nike's innovation slipped. In 2024 it rebuilt wholesale. I'd recommend a hybrid: DTC for data and relationships, key retail partners for reach, with clear agreements on data ownership and pricing.

SHORT ANSWER 2 (9 points)

Why did Prof. Kahn call Place her 'favorite P' today? Explain with examples of channel strategy.

What a full-credit answer covers

- Used to be operational/supply chain; now where differentiation and creativity happen
- Mature categories → go-to-market and experience matter more than the product
- 30–50% of price in the channel; channels do selling, assortment, pricing, experience
- Examples: Sephora vs Macy's; DTC brands moving to wholesale; luxury moving direct; Tesla
- Data ownership / power

MODEL ANSWER

Place used to feel like logistics and supply chain, not 'real' marketing. But in mature categories where products are similar, how you go to market has become the main way to stand out. The customer experience around the product can matter more than the product. Channels hold 30–50% of the final price, and they do the selling, education, assortment (breadth and depth), final pricing, and promotions. Sephora sells the same beauty products as Macy's but wins through the experience. DTC brands like Bonobos moved into Nordstrom and Amazon to scale, while luxury brands pulled back to direct or store-within-store for control. Tesla even got around dealer laws. Who owns the customer data has become a key strategic question.

SHORT ANSWER 3 (9 points)

Explain double marginalization and channel conflict, and how they affect pricing decisions.

What a full-credit answer covers

- Double marginalization: each member marks up separately → higher end price, lower total profit
- Channel often earns more than the brand (BeWood)
- Channel conflict: power struggles (car dealers vs OEMs; Amazon)
- Less control of price and experience through intermediaries
- Responses: direct, partnerships, aligned margins (Acuvue ECP example), data agreements

MODEL ANSWER

When a product passes through several intermediaries, each adds its own markup without coordinating. The customer ends up paying more and each party earns less total profit: double marginalization. Often the channel makes more than the brand, as in BeWood. Channel conflict is the power struggle over who controls price, the customer, and the data. US car dealers are so powerful that Tesla had to argue it isn't a car company to sell direct, and brands say of Amazon 'can't live with them, can't live without them.' Brands therefore control final prices less. Responses include going direct, aligning margins so the channel wants to push your product (like cutting the price to eye doctors in the Acuvue example), and negotiating data ownership.